Host Rental Agreement

A partnership between The Parcel Company and its homeowners

DOCUMENT ID	EFFECTIVE DATE	VERSION
		v3

Host Rental Agreement

This Host Rental Agreement (herein the "Agreement") is made and entered into as of the Effective Date set forth below by and between: The Parcel Company, an independent contractor, with its principal place of business at 4809 W 41st St, Ste 202 #353, Sioux Falls, SD 57106 ("Host"), and the Owner identified below, residing at the residential address set forth below ("Owner"), for the rental property located at the Rental Address set forth below ("Rental Address"). Collectively referred to as the "Parties".

Effective Date _____

Owner Name _____

Owner Address _____

Rental Address _____

This Agreement shall be effective from the date above parties sign it and shall automatically renew monthly. Either party may terminate this agreement without cause with thirty days' written email notice to the other party. Termination details are outlined below.

Purpose of the Agreement

This agreement outlines the collaborative engagement between our professional short-term rental hosting services and the property Owner. By establishing this arrangement, we aim to facilitate a seamless partnership that leverages our expertise in Online Travel Agencies (OTAs).

The Owner Responsibilities

This section outlines the Owner Responsibilities.

1. **Financial:** The Owner hereby accepts full financial responsibility for all costs associated with the rental property, including but not limited to property taxes, insurance, mortgage payments, maintenance, repairs, utilities, garbage and recycling disposal, HOA fees, capital improvements, pest control, and landscaping; etc.
2. **Legal Compliance:** Staying up-to-date with local laws and regulations is essential to maintaining a smooth and compliant operation. While The Parcel Company cannot provide legal advice, we expect you to fulfill your obligations regarding safety codes, property taxes, and any other applicable legal requirements. Ensure you possess the necessary permits and comply with local lodging tax regulations. While several OTA's collect some state lodging taxes, you may need to remit local taxes directly to the municipality.
3. **Insurance:** To protect your property and financial interests, we recommend obtaining short-term rental insurance, Landlord Protection, or Vacation Rental Insurance. This coverage can protect against property damage, liability claims, lost income, theft, vandalism, fire damage, and even squatters. Comprehensive Liability and Property

Insurance is essential for safeguarding your rental property. It covers the property's physical structure against damage caused by perils like fire, natural disasters, theft, vandalism, and other unforeseen events. Additionally, Liability Insurance protects you against claims from guests or third parties for bodily injury or property damage that occurs on the property.

4. Furnishing Minimums: We have established a strict minimum furnishing requirement to ensure that properties meet our guest comfort and satisfaction standards. Depending on the property's size and style. The furnishing range is $8.00 to $15.00 per square foot. Our minimum furnishing cost before we can establish an agreement is $8.00 per square foot available in the owners' bank account or available via credit card.

5. Linen Requirement: We require enough linens to completely strip the property, clean it thoroughly, and restock it with fresh linens for incoming guests. While the used linen gets thoroughly processed and washed. This allows our cleaning team to focus on deep cleaning the property, ensuring a clean and comfortable environment for every guest.

6. Space Preparation: Understanding the sentiment attached to personal touches, we recommend using your discretion to create a universally inviting environment. Consider removing highly personal items like family pictures to establish a neutral and welcoming atmosphere for all guests. Please water or temporarily remove plants and eliminate all candles from the property for safety and aesthetics. To ensure security, kindly store valuables off-property and securely safeguard any weapons.

7. Technological Measures: As part of our commitment to property security, we require the installation of Smart WiFi locks and doorbell cameras, both of which that are approved by the host before purchase.

8. Utilities: As the property owner, you are responsible for managing all utilities, including electricity, internet, heating, cooling, and water, ensuring the property has appropriate garbage and recycling services, working smoke and carbon monoxide detectors.

9. Safety First: We require a first aid kit and a working fire extinguisher, serviced and refilled as per manufacture instructions.

10. Special Amenities: Should your property offer special amenities like a grill, hot tub, sauna, or pool, it's essential to commit to their maintenance. If you provide a propane grill on the property, you must have at least two propane tanks available for guest use.

11. Maintenance and Repairs: As the property owner, you ensure that your property remains in good condition and is always guest-ready. This includes regular maintenance, timely repairs, and overseeing utility services.

12. Scheduling Contract Work: To minimize disruptions, owner must schedule foreseeable contract work when host is available to be at the property. Communication with the Host regarding the nature and timing of such work is important, especially for work requiring access to the property's interior. Timely communication lets the Host notify guests appropriately and fulfill the required notice period, at minimum 24 hours before the service or work is needed.

13. Requesting Blocked Dates: The host reserves the right to have the property professionally cleaned by our cleaning team following a host's stay to ensure the highest standards of cleanliness for all guests. Our cleaning fees range from $150 to $250, depending on the size of the home. Please note that these are approximate prices and may vary due to factors such as the condition of the home and additional services. When you block off dates for personal use, these dates become non-revenue days, meaning you will not receive rental income during that time.

Initial to confirm Furnishing Minimums (Item 4) _____

By fulfilling these detailed responsibilities, you actively contribute to the property's success and uphold its quality for you and your guests.

The Host Responsibilities

This section outlines the Host Responsibilities.

- Access and Transparency for the Owner:
  To provide access and transparency while mitigating miscommunication, the Host will ensure the following measures will be implemented:
  - Full Visibility and Access
    The Owner shall be granted complete visibility and access to all relevant information on the Property Management Software (PMS) that reflects all communication to what is shown on the online travel agency (OTA) listing websites, including reservations, calendars, messages, and financial data, pulling all into one place called the Client Portal. This ensures transparency and enables the Owner to stay informed about the property's performance.
  - Limited Editing Privileges
    While the Owner can view all information, editing privileges will be limited. Critical information, such as rates, availability, and property details, will remain under the exclusive management of the Host to ensure clear communication and prevent any unintentional miscommunication or conflicting changes.
  - Collaboration for Substantial Changes
    Any significant modifications or alterations the Owner desires shall be discussed collaboratively with the Host. Engaging in open communication and agreement before implementing substantial changes effectively minimizes the risk of miscommunication and conflicting actions.
- Notice of Host Availability
  Our team is available 24/7 to assist you with most inquiries. To help you find answers quickly, we'll provide a chat room, and a knowledge base with searchable information. However, you may need to speak directly with our team for complex legal matters, financial arrangements, or significant property decisions. For these matters you will also be provided a link on the client portal to schedule a call with the host.
- Guest Communication and Support
  The Host shall serve as the primary point of contact for all guests, promptly and

professionally addressing their inquiries, requests, and concerns throughout their stay. The Host shall remain accessible and responsive, offering assistance and support to ensure every guest's comfortable and enjoyable experience.

- Maintenance of OTA Listings
  The Host shall diligently maintain the rental property's OTA listing websites, ensuring accurate and up-to-date information. This involves regular updates of property details, availability calendars, rates, and guest communication. The Host will optimize listings with appealing descriptions, attractive images, and competitive pricing, contributing to increased visibility and reservation success.
- Dynamic Pricing for Optimal Revenue
  We set nightly rental rates on all OTA using dynamic pricing based on market-trends. This data-driven approach optimizes revenue potential while remaining aligned with current market trends.
- Real-Time Calendar Updates for Seamless Bookings
  Ensure all calendars are promptly updated with new reservations or changes, ensuring accurate availability information for potential guests. This proactive approach, facilitated by the Property Management Software (PMS), minimizes the risk of a double reservations and optimizes the property's occupancy.
- Property Cleaning
  The Host will ensure the property is thoroughly cleaned between guest stays, adhering to high cleanliness standards. Additionally, the Host will hire and manage external cleaning companies and/or personnel, ensuring that the property's cleaning needs are efficiently met.
- Property Optimization
  The Host shall commit to advise the Owner on various property optimizations to improve guest satisfaction and occupancy rates. This may include a maintenance, landscape, equipment, furnishing and/or any other improvements, and incorporating guest feedback to enhance the property's appeal.
- Reviews
  The Host shall proactively request feedback from guests after their stay, thanking them for their visit and encouraging them to leave reviews on popular travel platforms. Additionally, the Host may provide incentives, such as discount for future stays, to encourage guests to book again.
- Financial Reporting
  After the close of each month, the Host will diligently compile and provide the Owner with detailed receipts and invoices for all charges incurred during that month. Reports are sent to the owner on the first day of each month.
- Professional Photography
  While the cost falls on the Owner, the Host will arrange for a professional photographer and/or videographer to capture the property's features effectively.

Property Maintenance and Repair

The Host shall promptly address any maintenance or repair needs reported by guests to ensure the property's optimal condition and uphold a pleasant guest experience. The Host will proactively respond to these requests promptly and efficiently.

1. Authorization Process: All non-urgent repairs and maintenance will require the explicit permission of the property Owner. Before initiating any such repairs, the Host will obtain authorization from the Owner to ensure that they are informed and supportive of the work being performed on the property.

2. Urgent Repairs: In the event of urgent repairs or maintenance needs, where immediate action is necessary to prevent further damage or ensure guest safety and comfort, the Host is permitted to hire any appropriate, reasonably priced contractor without prior authorization from the Owner with a limit of $500.00 anything above that will need to be discussed before work order being approved. The Host will act diligently and judiciously in selecting contractors to promptly address urgent situations. Examples may include plumbing emergencies, electrical issues, HVAC system failure, security concerns, structural damage, gas leaks, major appliance breakdowns, water heater failure, roof leaks, and pest infestations.

3. Contractor Selection: For urgent repairs, the Host will ensure that contractors selected are reputable, qualified, and licensed to perform the required tasks. The selection process will prioritize those who can offer timely service, maintain a high standard of workmanship and meanwhile offering a competitive price based on market standard.

4. Emergency Contact Information: The Owner will provide the Host with an emergency contact list, including local contractors and service providers of their preference, to facilitate the Host in immediate assistance in case of urgent situations outside of regular business hours.

Termination Clause

In the event of termination of this Host Rental Agreement, either party may terminate the agreement by providing written notice via email. The termination notice shall be thirty (30) days prior to the intended cancellation date. During this notice period, both parties will cooperate in good faith to ensure a smooth and orderly transition of hosting responsibilities.

Notice. Owner shall provide effective notice ("Notice") delivered electronically to hello@theparcelco.com.

Following the termination notice, for the next thirty (30) days, the Owner & Host shall honor and fulfill any existing, active, or new reservations received for the property generated for the Owner during our time working together.

This applies to reservations made before the termination date, and the Host will continue to provide hosting services, including guest communications, maintenance coordination, and cleaning, for these existing reservations.

After the thirtieth day, day thirty-one, the Host will disconnect all listings from their management. Managing any reservations, price, guest communications, etc., made after the termination date will fall solely on the Owner.

Termination Protocol

1. Calendar Block-off: Within 72 business hours of receiving the termination notice, the Host will promptly block off the reservation calendar to prevent any new reservations beyond the 30-day notice period. The effective date for blocking the calendar will be communicated to the Owner and set for the 31st day following the termination notice.
2. Existing Bookings: The Host will fulfill all Host duties for existing reservations up to the 30-day notice period.
3. New Bookings: After the 31st day, the Host will no longer accept any new reservations for the property. The Host will work collaboratively with the Owner during the notice period to ensure a smooth transition of all hosting responsibilities.
4. Extended Reservations During the 30-day Notice Period: Within or before the 30-day notice period, existing reservations might extend beyond the termination date. In such cases, the Owner and the Host will collaborate to honor and Host these extended reservations until the move-out date and cleaning.

Arbitration

In the event of any dispute or disagreement arising from or relating to this Host Rental Agreement between the Host and the Owner, the parties agree to first attempt to resolve the matter through good-faith negotiations. If the dispute remains unresolved after such efforts, the parties further agree to submit the dispute to arbitration in accordance with the rules of the American Arbitration Association (AAA). The arbitration proceedings shall be conducted by a single arbitrator appointed by mutual agreement of the parties or, if no agreement is reached, appointed by the AAA. The arbitration shall take place virtually or online, and the arbitrator's decision shall be final and binding on both parties. Each party shall bear its own costs and expenses related to the arbitration, and the parties shall equally share the fees and expenses of the arbitrator. This arbitration clause shall be enforceable under applicable law, and any judgment rendered by the arbitrator may be entered in any court having jurisdiction thereof. By agreeing to this clause, the parties waive their right to litigate disputes in court and instead choose to resolve any claims through arbitration.

Fee Structure

Initial Onboarding Fee

Note: This one-time fee covers the onboarding of a new property. The onboarding fee covers listing creation, PMS connection, copy and title creation, pricing strategy, and initial marketing efforts to ensure a smooth and successful start with our platform.

(500 to 999 sqft): $599
(1,000 to 1,499 sqft): $759
(1,500 to 1,999 sqft): $899
(2,000 to 2,999 sqft): $1,049

Initial to confirm Onboarding Fee tier _____

Month-to-Month Subscription. 20% of the gross monthly revenue comprising of nightly rate, cleaning fee, any extra charges, minus any platform fees.

- Payout Flow:
  On Airbnb, payouts will be a directly split and paid out to both the owner and host. 80% to the owner and 20% to the host.
  On all other platforms, the payouts goes directly to the owners bank account of choice. At the end of each month, the owner will receive a detailed breakdown and an invoice for the amount due, excluding what has already been paid out via Airbnb's direct split.
- Monthly invoice: On the 1st of each month the Owner will receive an invoice in the client portal, payment will be due upon receipt, no later than the 5th of each month.

Monthly Technology Fee. $50.00/month (+tax). The Technology Fee is a monthly charge that covers the costs of the advanced tools your property requires to effectively. These include:

- Centralized Booking System: A comprehensive platform for managing reservations,

guest communications, and payment processing.

- Smart Pricing Tools: Advanced algorithms that analyze market trends and optimize rental rates for maximum income.
- Multi-Platform Listings: Distribution of your property listings across multiple popular booking platforms to reach a wider audience.
- Guest Communication Tools: Efficient channels for communicating with guests, providing them with essential information, and addressing their needs.
- Digital Guest Guide: A customizable online guidebook that provides guests with all the information they need for a seamless stay.
- Digital Door Lock Control: Remote management and access control for your property's door locks, ensuring secure and convenient check-in/check-out processes.

Please Note:

- Onboarding Fees: Multi-unit properties (e.g., duplex, four-plex, etc.) require a separate onboarding fee for each unit. Additional units at the same address will also incur individual fees.
- Technology Fee: The monthly technology fee is a recurring charge and applies per property.
- 80/20 Split: The 80/20 split will be paid out after each booking.
- Payment Processing: All payments will be processed in US Dollars.

Offer and Acceptance

This Host Rental Agreement (herein the "Agreement") is between The Parcel Company, an independent contractor ("Host") and the Owner identified below ("Owner") of the rental property identified below ("Rental Address"), effective as of the Effective Date stated at the top of this Agreement.

Indemnification

- Owner: Agrees to indemnify and hold harmless the Host from any claims, damages, liabilities, and expenses arising out of the Owner's failure to comply with legal obligations or property maintenance.
- Host: Agrees to indemnify and hold harmless the Owner from any claims, damages, liabilities, and expenses arising out of the Host's management of the property, except where caused by the Owner's negligence or willful misconduct.

Force Majeure

Neither Party shall be liable for any failure or delay in performing their obligations under this Agreement due to causes beyond their reasonable control, including but not limited to acts of God, war, terrorism, natural disasters, or government actions.

Amendments

Any amendments or modifications to this Agreement must be made in writing and signed by both Parties.

Severability

If any provision of this Agreement is found to be invalid or unenforceable, the remaining provisions shall continue in full force and effect.

Governing Law

This Agreement shall be governed by and construed in accordance with the laws of the State of South Dakota, without regard to its conflict of law principles.

Entire Agreement

This Agreement constitutes the entire understanding between the parties and supersedes all prior or contemporaneous communications, representations, or agreements. The Owner, by signing below, acknowledges having read, understood, and agreed to be bound by all terms and conditions herein.

Electronic Signature

The Owner's electronic signature on this Agreement shall be legally binding and equivalent to their handwritten signature. By signing below, the Owner acknowledges and agrees to the terms and conditions of this Agreement.

Owner Signature

By signing below, the Owner acknowledges and agrees to the terms of this document.

Company _____

Company Title _____

Name _____

Email _____

Phone Number _____

Signature

_____

Sign with your finger or by typing your name.

Date Signed

_____

MM/DD/YYYY

Please retain a copy of this form for your records.